NIKE, Inc.: DCF & Comparable Companies Valuation

Valuation date 19 Oct 2026 | share price $37.21 | $ millions unless stated

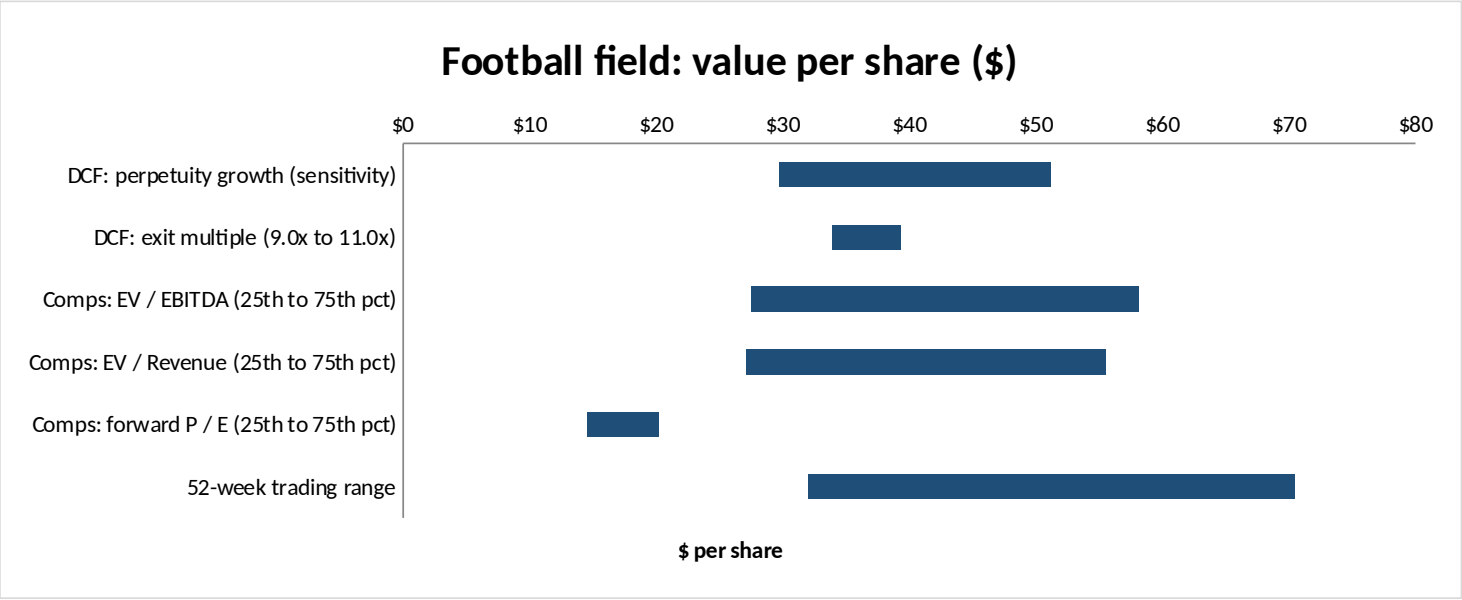
Purpose	Values Nike three ways (DCF with perpetuity growth, DCF with an exit multiple, and trading comparables) and compares them with the share price on one football field chart.
Data	Cash flows from the base case of the Nike five-year forecast (github.com/MuhammedAnshajK/three-statement-model), whose FY2027 matches Nike's guidance of 1 Oct 2026. Share price, beta and peer multiples from stockanalysis.com at 19 Oct 2026; 10-year Treasury yield from YCharts (16 Oct 2026). Net debt from the 31 May 2026 balance sheet (10-K).
How to use	Change the blue or yellow cells on the WACC, DCF and Comps sheets. Everything else is a formula.
Sheets	Summary > Forecast > WACC > DCF > Sensitivity > Comps
Colour key	Blue = hardcoded input | Black = formula | Green = link to another sheet | Yellow fill = key assumption
Note	A learning project, not investment advice.
Author	Muhammed Anshaj K

Valuation summary

Value per share ($) | the bars in the chart run from low to high

	Low	High	Range	Base
DCF: perpetuity growth (sensitivity)	$29.75	$51.18	$21.43	$37.36
DCF: exit multiple (9.0x to 11.0x)	$33.91	$39.35	$5.45	$36.63
Comps: EV / EBITDA (25th to 75th pct)	$27.50	$58.16	$30.66	$32.90
Comps: EV / Revenue (25th to 75th pct)	$27.07	$55.51	$28.43	$35.96
Comps: forward P / E (25th to 75th pct)	$14.57	$20.20	$5.63	$16.84
52-week trading range	$31.97	$70.44	$38.47	$37.21
Current share price (19 Oct 2026)				**$37.21**
DCF midpoint (perpetuity and exit multiple)				**$36.99**
Upside / (downside) to share price				**(0.6%)**

Base column: DCF base cases, comps at the median, and the current price for the trading range.
Forward P/E gives a low value because FY2027 earnings are temporarily depressed; the DCF captures the recovery.



Forecast inputs

NIKE, Inc. | $ millions unless stated | market data at 19 Oct 2026

	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue	46,398	42,442	43,237	45,140	47,197	49,130
EBITDA	4,544	2,674	3,632	4,604	5,475	6,240
Depreciation & amortisation	747	679	692	722	755	786
EBIT	**3,797**	**1,995**	**2,940**	**3,882**	**4,720**	**5,453**
Capital expenditure	684	679	692	722	755	786
Operating working capital (AR + inventory + prepaid - AP - accrued)	5,884	4,852	4,541	4,324	4,419	4,570
Diluted EPS ($)	$2.10	$1.09	$1.63	$2.19	$2.73	$3.23
Balance sheet at 31 May 2026 and market data						
Cash and short-term investments	9,027					
Debt (excluding leases)	7,942					
Shares outstanding (m)	1,485					
Share price at 19 Oct 2026 ($)	$37.21					
Market capitalisation	55,257					
52-week low / high ($)	$31.97	$70.44				

Revenue, EBITDA, D&A, capex, working capital and EPS: base case of the Nike forecast model (rounded to 0.1). FY2026A EPS is reported diluted EPS.
Shares: market cap $55.27bn / $37.21 (stockanalysis.com). Debt and cash: Nike 10-K, 31 May 2026.

Discount rate (WACC)

NIKE, Inc. | $ millions unless stated | market data at 19 Oct 2026

Risk-free rate	5.1%	*US 10-year Treasury yield, 16 Oct 2026 (YCharts)*
Equity risk premium	5.0%	*Assumption, within the common 4% to 6% range*
Beta (levered)	1.10	*Nike 5-year beta (stockanalysis.com)*
Cost of equity (CAPM)	**10.6%**	*Risk-free + beta x equity risk premium*
Pre-tax cost of debt	5.9%	*Risk-free rate plus about 0.8% for an A-rated issuer*
Tax rate	19.0%	*Matches the forecast tax rate*
After-tax cost of debt	4.8%	
Debt / (debt + equity)	12.6%	*Market-value weights: debt $7.9bn, market cap $55.3bn*
Equity / (debt + equity)	87.4%	
WACC	**9.9%**	*Weighted average cost of capital*

Discounted cash flow

NIKE, Inc. | $ millions unless stated | market data at 19 Oct 2026

	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
EBIT	3,797	1,995	2,940	3,882	4,720	5,453
Less: tax on EBIT		(379)	(559)	(738)	(897)	(1,036)
NOPAT		**1,616**	**2,381**	**3,145**	**3,823**	**4,417**
Add: depreciation & amortisation		679	692	722	755	786
Less: capital expenditure		(679)	(692)	(722)	(755)	(786)
Less: increase in working capital		1,032	311	217	(95)	(151)
Unlevered free cash flow		**2,648**	**2,692**	**3,361**	**3,728**	**4,267**
Discount period (years)		0.61	1.61	2.61	3.61	4.61
Discount factor		0.944	0.860	0.782	0.712	0.648
Present value of free cash flow		2,500	2,314	2,630	2,655	2,766

Assumptions

WACC	9.9%
Terminal growth rate	3.0%
Exit EV / EBITDA multiple	10.0x

Valuation	**Perpetuity**	**Exit multiple**
Sum of PV of free cash flows	12,865	12,865
Terminal value (FY2031)	64,063	62,395
PV of terminal value	41,528	40,447
Enterprise value	**54,393**	**53,312**
Less: debt	(7,942)	(7,942)
Add: cash	9,027	9,027
Equity value	**55,478**	**54,397**
Value per share ($)	**$37.36**	**$36.63**
Upside / (downside) to share price	0.4%	(1.6%)
Terminal value as % of EV	76.3%	75.9%
Implied exit multiple / implied growth	10.3x	2.8%

Cash flows are discounted to 19 Oct 2026 at each 31 May year end (0.61 years to the FY2027 year end).
FY2027 is counted in full, a small simplification. Share-based pay is treated as a real cost (not added back).
Terminal value uses FY2031 free cash flow grown one year.

Sensitivity: value per share ($)

Perpetuity growth method | WACC down the side, terminal growth across the top | share price $37.21

WACC \ growth	2.0%	2.5%	3.0%	3.5%	4.0%
8.9%	$38.50	$40.92	$43.76	$47.12	$51.18
9.4%	$35.86	$37.92	$40.31	$43.10	$46.41
9.9%	$33.56	$35.33	$37.36	$39.70	$42.45
10.4%	$31.54	$33.07	$34.81	$36.81	$39.11
10.9%	$29.75	$31.09	$32.60	$34.31	$36.27

Centre cell (yellow) equals the base case on the DCF sheet.

Check: centre less DCF value per share -

Trading comparables

Athletic footwear and apparel peers | stockanalysis.com, 19 Oct 2026 (Puma 7 Oct) | n.m. = not meaningful

	EV / Revenue	EV / EBITDA	Forward P / E
adidas (Germany)	1.2x	9.8x	15.2x
Puma (Germany)	0.8x	n.m.	n.m.
Lululemon (US)	1.0x	4.9x	11.7x
Deckers Outdoor (US)	2.0x	8.1x	11.4x
On Holding (Switzerland)	2.8x	18.3x	19.0x
Under Armour (US)	0.6x	17.4x	n.m.
25th percentile	**0.9x**	**8.1x**	**11.7x**
Median	**1.1x**	**9.8x**	**13.5x**
75th percentile	**1.8x**	**17.4x**	**16.2x**
Nike today (for reference)	*1.3x*	*11.9x*	*28.4x*
Nike metric	45,890	4,890	$1.25

Revenue and EBITDA: last twelve months to Aug 2026 (stockanalysis.com). EPS: midpoint of FY2027 guidance ($1.15 to $1.35, adjusted).

Implied value per share ($)			
At 25th percentile	$27.07	$27.50	$14.57
At median	$35.96	$32.90	$16.84
At 75th percentile	$55.51	$58.16	$20.20

Puma's EBITDA is negative and its earnings and Under Armour's are loss-making or near zero, so those multiples are excluded (n.m.).